The Central Bank had barely recovered from the crisis when it faced another in the form of the First World War. Political uncertainty had its effect on the financial situation and once again public confidence in the new banks including the Central Bank began to decline. As Nanporia observes, 'Its deposits diminished to ₹30 lakhs in 1914 but a policy of cautious conservatism allied to sound business methods and the concentrated zeal of Sorabji began to yield results. The Central's resources were meager and the management had ensured that assets were sufficiently liquid to meet any sudden demands made on it, and the ground it had lost in the preceding two years was gradually regained. This precaution was to enable it to weather many a storm that challenged it in the future.'[17]

In November 1915, Sir Pherozeshah Mehta's demise deprived the bank of one its main pillars of support and one whose connection had lent much weight and distinction to it. For Sorabji it was a great personal loss for there could not have been a Chairman more suited to his temperament and aspirations. Sir Pherozeshah Mehta's death was the second blow the bank suffered. Before that, the untimely demise of S.N. Vicaji, the Chief Cashier of the bank since its inception, had cast a pall of gloom on the bank, depriving Sorabji of a close companion and associate with whom he had laid the foundations of the bank.

In May 1918 trouble struck again. Despite all that the Central Bank had achieved, it still remained very vulnerable to the machinations of its jealous detractors who never lost an opportunity to start rumours that would reflect poorly on the bank's credit. A gullible public fell prey to these rumours causing the crises of confidence which all banks dread. Sorabji was well aware that it was not enough for the bank to be run keeping in mind the canons of banking and financial propriety; equally important was the public awareness of the soundness of the institution, given the fact that the slightest suggestion of trouble was often sufficient to sway the Indian public. The public slow to trust was ever eager to believe something scandalous. And there were plenty of persons who went about fomenting what Nanporia calls 'this tendency to easy suspicion.' This was something Sorabji was to guard against all his life.

A speculative trade in the cotton market went awry and the Bombay money market was in a tumult with public opinion being influenced by rumours and baseless reports. It was put about that the Central Bank had